
How Does a Global Firm Hold Together?

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“Why are they giving up now? They have good prices and a good variety of products.”

YOUR IB VOICE

EXPLAIN THE DIFFERENCE

Wal-Mart's formula failed in Germany and South Korea but succeeded in Mexico and Britain. What explains the difference? Commit to one explanation and defend it with two details from the article.

10 minutes · Individual · Notes permitted

Keep your response. You will return to it in the closing discussion.

Why did the formula land in some countries and not others?

Germans and Koreans shop daily and in small packages.

Aldi and E-Mart already owned low prices.

Wal-Mart bought weak chains with too few stores to set prices.

Americans ran the stores and treated the unions as enemies.

Which of these are about the country, and which about how Bentonville ran it?

Wal-Mart went abroad in 1991. Where did the formula land, and where did it fail?

Wal-Mart abroad grew from nothing to \$63 billion

\$63 billion

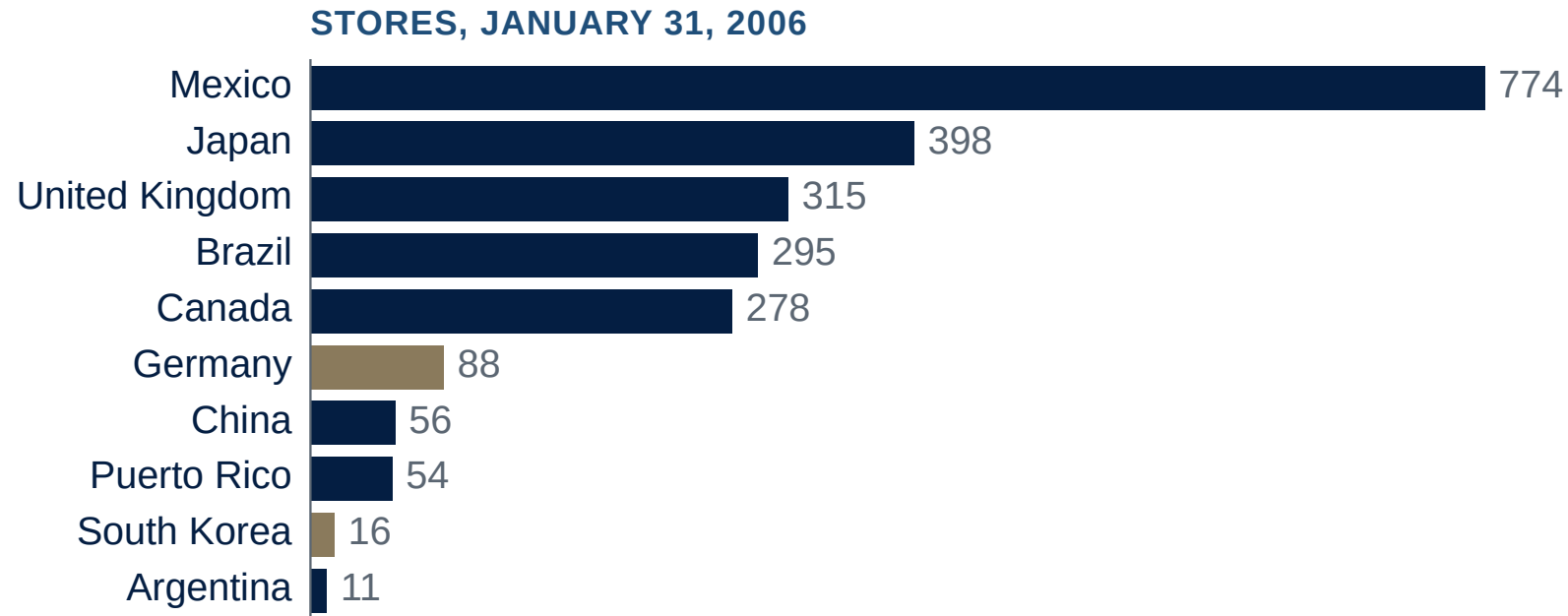
was Wal-Mart International's sales in 2006, from a standing start fourteen years earlier

In June 2006 international sales grew nearly 30 percent, and nearly 12 percent without acquisitions.

In the same month store traffic fell at home.

■ The setbacks happened inside the fastest-growing part of the company.

Wal-Mart left two of its ten markets in 2006



Wal-Mart Stores, Inc., [Form 10-K for the fiscal year ended January 31, 2006](#), International segment unit counts.

Germany had 88 stores and Korea 16 when the year began, and Mexico had 774.

■ The two exits were thin positions in markets where a local discounter already set the price.

Aldi already owned low prices in Germany



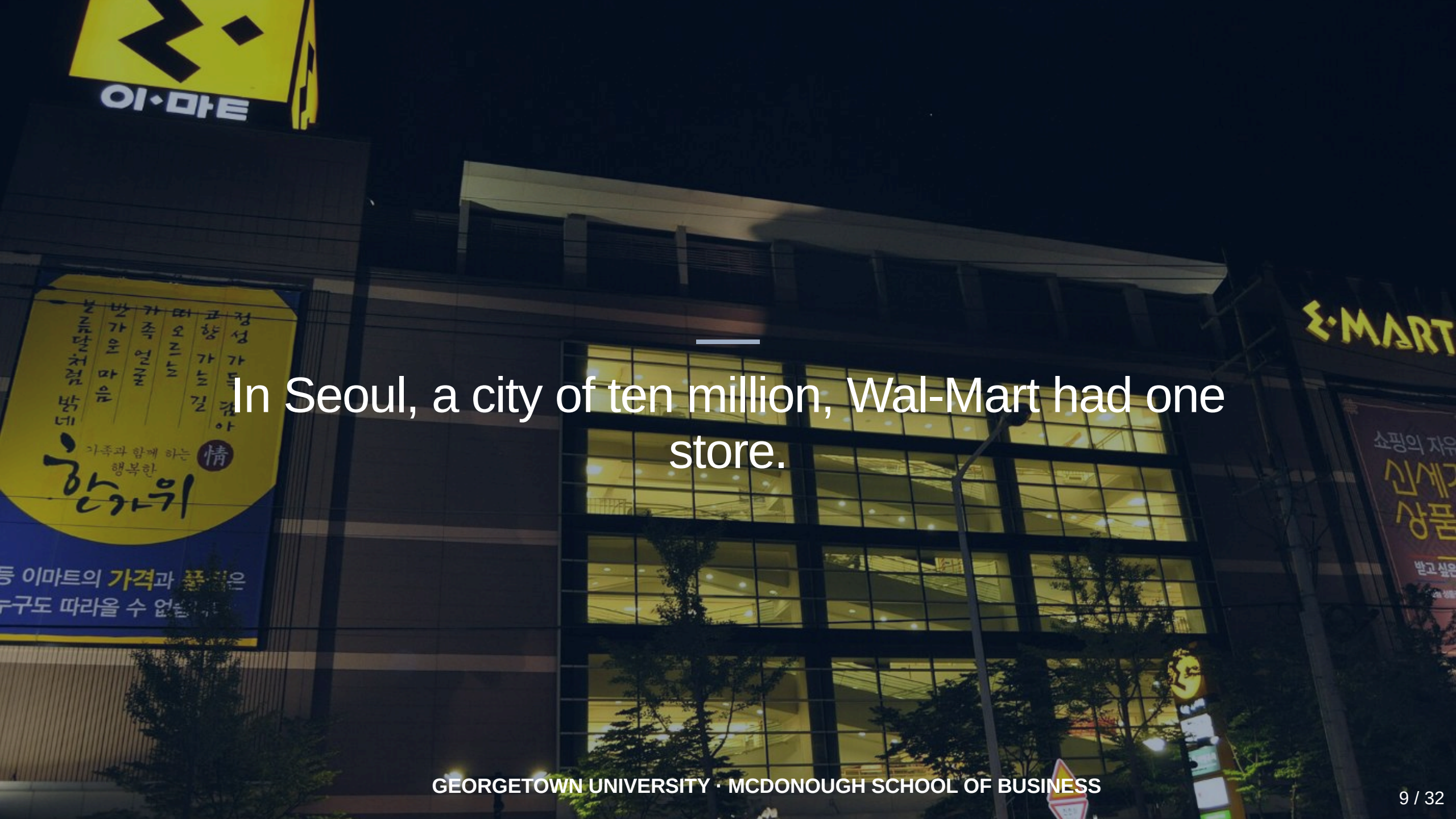
Spacekid, [Aldi Bielefeld-Jöllenbeck](#), 2015 · Wikimedia Commons, CC0.

Aldi ran 4,100 stores in Germany and sold cheaper food of high quality.

Wertkauf and Interspar came with stores in undesirable locations.

Closing one chain's headquarters drove its executives out.

Germany became, in the Times's words, "a sort of template for how not to expand into a country."



In Seoul, a city of ten million, Wal-Mart had one store.

Wal-Mart bought Mexico's leader and its managers

Wal-Mart bought Cifra, the country's largest and best-run chain, and kept its managers.

“The management stayed, and they knew the market very well.”

In 2006 it was spending \$1 billion to open 120 more stores.



tomf688, [Wal-Mart Supercenter, Querétaro](#), 1999 · Wikimedia Commons, CC BY-SA 3.0.

Wal-Mart's best markets are the ones where it started big.

Asda kept its name and became the biggest market



Asda kept its name and by 2006 supplied 43 percent of Wal-Mart's international revenue.

Steven Haslington, [Asda Walmart Supercentre, Milton Keynes](#), 2014 · Wikimedia Commons, CC BY-SA 2.0.

Most international sales came under other names

70%

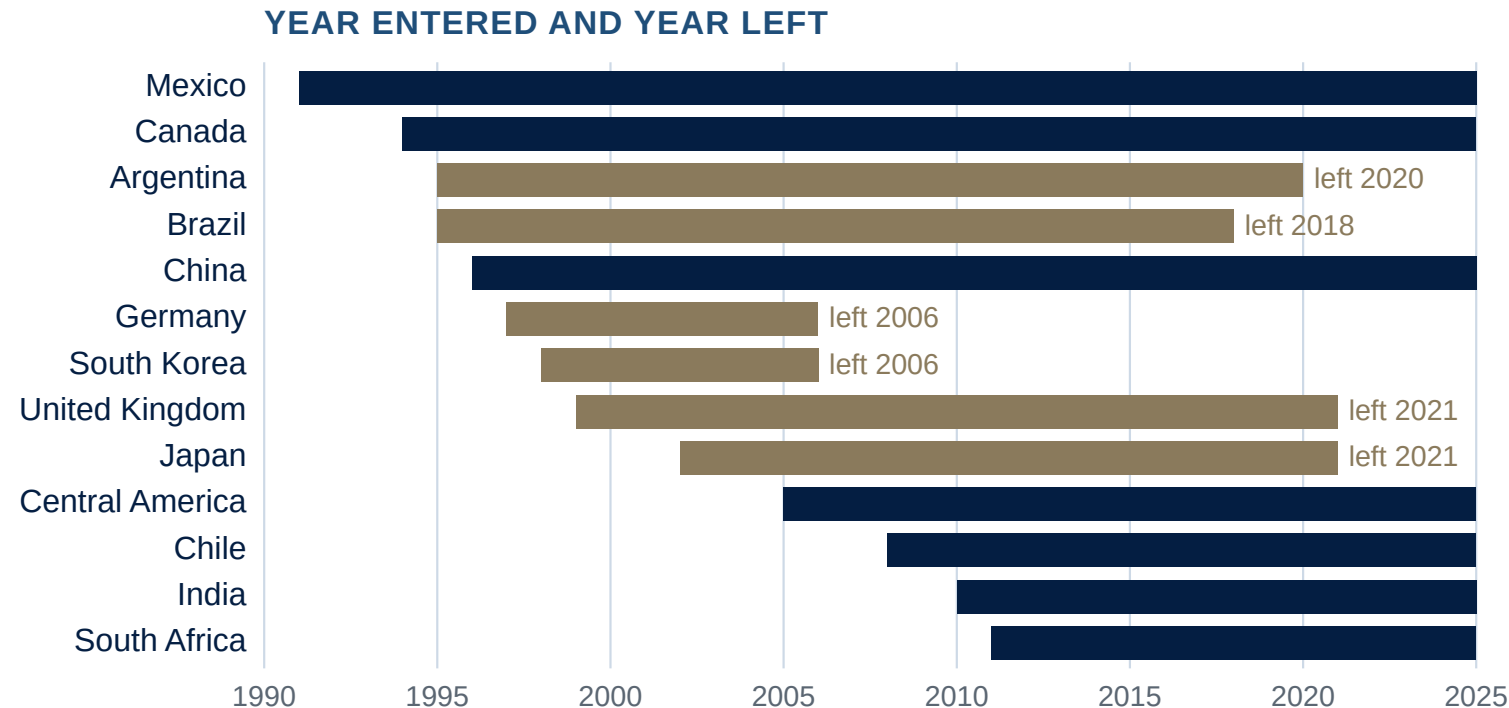
of Wal-Mart's international sales came
from stores called Asda, Seiyu, or
Bompreço

The German stores carried the Walton
name and American managers.

Wal-Mart “now cares less” whether its
foreign stores carry the name.

■ The formula landed where a local leader kept its name, its managers, and its decisions.

Since 2006 Wal-Mart has left four more countries



Walmart, [Our History](#), and Forms 10-K; entry years for Argentina, Brazil, Germany, Korea, and Central America as widely reported.

It sold Brazil in 2018, Argentina in 2020, and Asda and Seiyu in 2021, and it grew in Mexico, Canada, China, and Central America.

Starting big got Wal-Mart in, and it did not by itself keep Wal-Mart there.

What did not travel?

The formula met shoppers with other habits

The formula was low prices, tight inventory, and a large array under one roof, bought once a week by car.

Germans and Koreans shopped daily at specialist stores, bought small packages, and bought meat from the butcher.



Monstourz, [Braunschweiger in a Fleischerei counter](#), 2011 · Wikimedia Commons, CC BY-SA 3.0.

The formula assumed a shopper it did not find.

Law and custom did not travel either



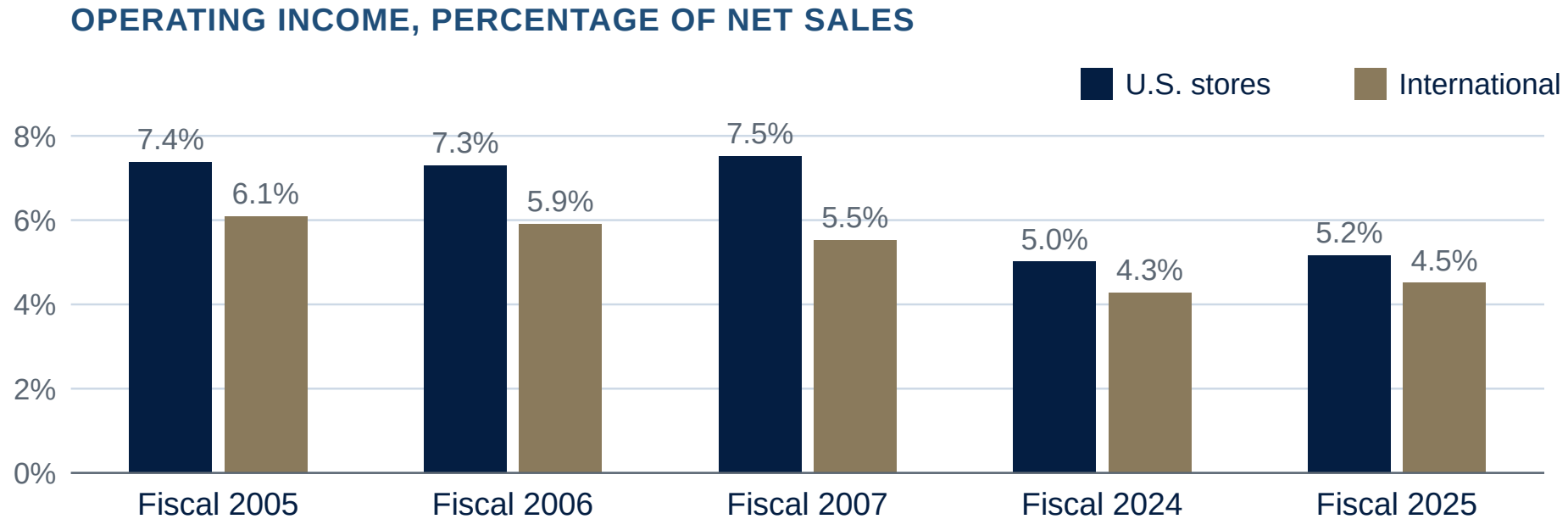
Wikifreund, [Wal-Mart Supercenter, Pattensen](#), 2006 · Wikimedia Commons, CC BY-SA 2.0 DE.

“Bentonville didn’t want to have anything to do with unions. They thought we were communists.”

Moving a headquarters is routine in Arkansas, and in Germany it emptied the executive floor.

Part of what did not travel was law and custom, not taste.

The same formula earns less abroad



Wal-Mart Stores, Inc., [Form 10-K, fiscal 2007](#), and Walmart Inc., [Form 10-K, fiscal 2025](#), segment results.

In fiscal 2007 a dollar of sales earned 7.5 cents at home and 5.5 cents abroad, and the gap has not closed.

■ The liability of foreignness is the extra cost a firm bears abroad that a local rival does not pay.

Apple lets no country decide. What did that cost in
Shanghai?

Apple has one P&L and no general managers

Jobs put the whole company under one profit-and-loss statement.

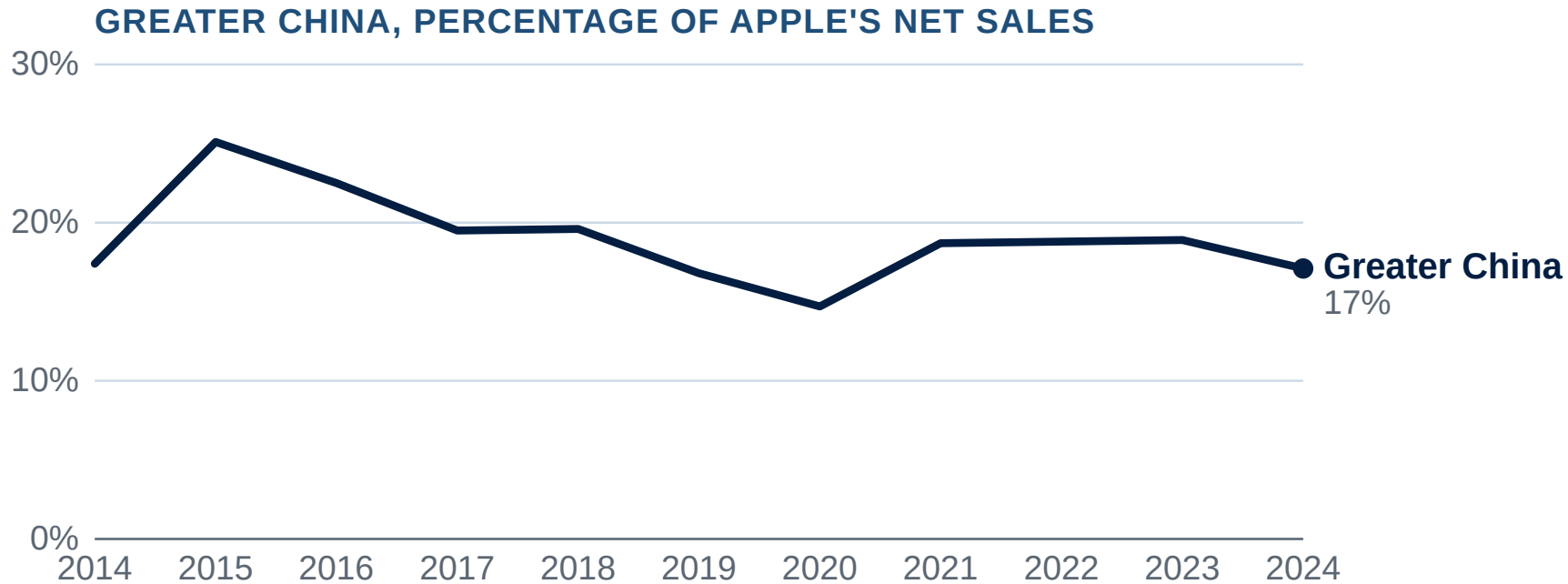
He divided it into functions, each led by a technical expert, and created no country units.



Joe Ravi, [Apple Headquarters in Cupertino](#), 2011 · Wikimedia Commons, CC BY-SA 3.0.

Apple holds together by function, and a country is not a unit of the company.

Greater China was a fifth of Apple's sales in 2017



Apple Inc., [Forms 10-K](#), net sales by reportable segment, fiscal 2014 to 2024.

In fiscal 2017 Greater China brought in \$44.8 billion, 19.5 percent of Apple's net sales.

■ A fifth of the company's revenue had no one on the ground who could decide for it.

Shanghai asked to own its decisions in May 2017



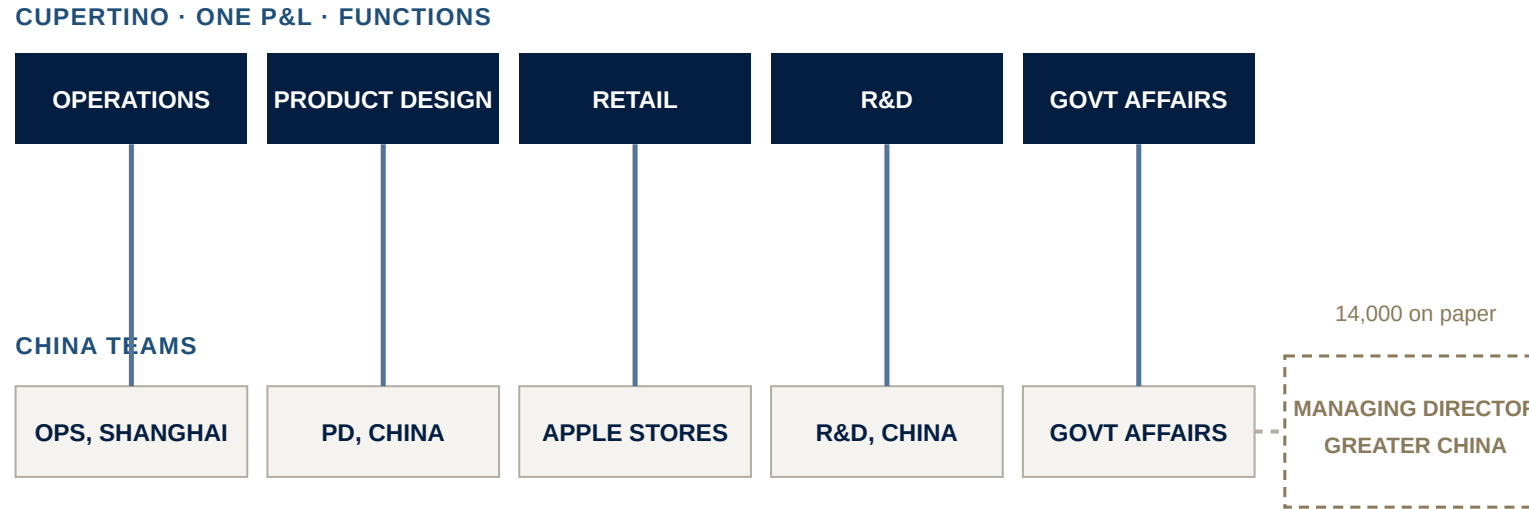
Operations in Shanghai wanted to decide with vendors on the spot.

Product Design in Cupertino held the decisions.

The new managing director's answer was to seek advice from Cupertino.

| The question underneath was whose side she was on, Operations or Product Design.

The managing director had no reporting lines



Retail, operations, R&D, and government affairs each reported within China or back to Cupertino.

On paper she oversaw 14,000 employees, and every one of them reported to a function.

The role existed for political optics



kallerna, [Apple Pudong, Shanghai](#), 2020 · Wikimedia Commons, CC BY-SA 4.0.

Apple's China leaders, whom McGee calls the Gang of Eight, wanted a public China lead.

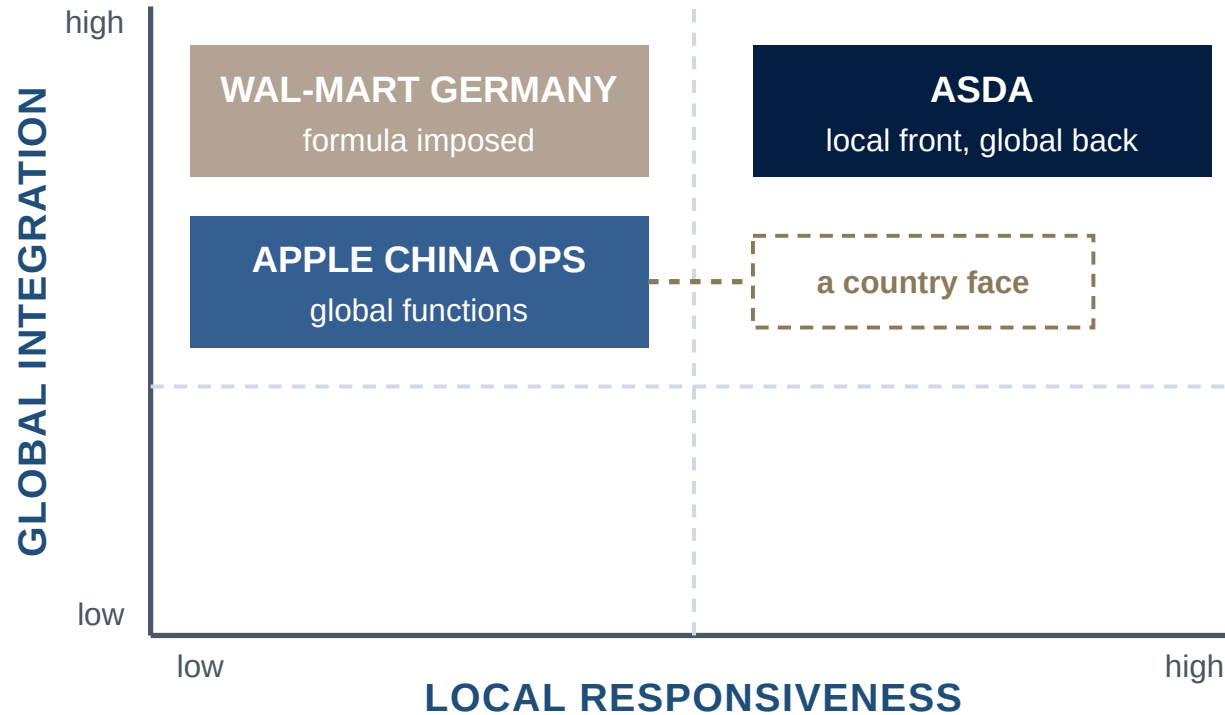
Cupertino wanted “the face of China” to be Chinese.

By early 2019 the position had not worked out, and it stayed.

Apple chose a figurehead over a decision-maker and kept its functions intact.

How does a global firm hold together?

Integration and responsiveness pull two ways



Integration buys scale, one formula, and leverage over suppliers.

Responsiveness buys shoppers, unions, officials, and speed.

Asda got both by keeping the front local and sharing the back office.

■ The pull is felt decision by decision, not country by country.

Wal-Mart still runs 5,566 stores in 18 countries

5,566

stores outside the United States in 2025,
up from 2,285 in ten countries in 2006

Mexico, Canada, China, and Central America stayed and grew.

International earned 4.5 cents on each dollar of sales in fiscal 2025, against 5.2 cents at home.

■ The mix of headquarters and country decisions can differ by country, and it is chosen lever by lever.

Group Activity: Design the Country Unit

Design the country unit for your firm

1. **Select** your focal firm and one foreign market it enters.
2. **Diagnose** which of five decisions a local rival would get right and headquarters wrong: pricing and assortment, suppliers, store or plant design, labor relations, and the name on the door.
3. **Recommend** who decides each one and whom the country manager reports to.
4. **Defend** the one decision you would never give away.

15 minutes · Industry teams · One annotated list

▮ Allocate decisions, not slogans.

Which decision would your team never give away, and what does keeping it cost the country?

6 minutes · Three reports, then one challenge from another team

The decision a team would never give away is what its formula is made of.

How does a global firm hold together?

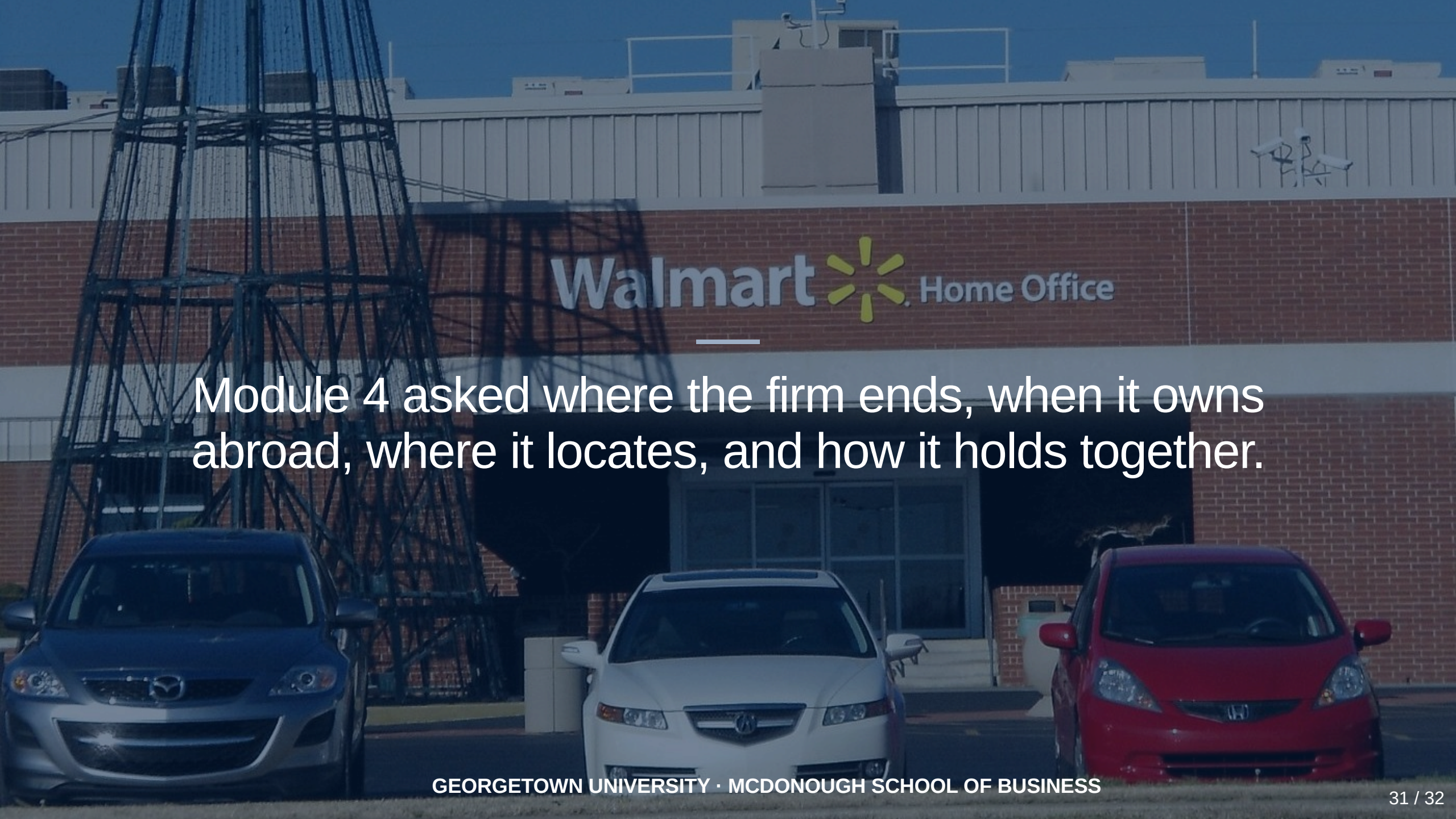
It holds together decision by decision, not country by country.

Integration buys scale, and responsiveness buys shoppers, unions, and speed.

A local leader with its name and its managers buys down the liability of foreignness.

A title changes nothing unless decisions come with it.

| The midterm on Wednesday, October 7 covers Modules 1 through 4.

A photograph of a Walmart Home Office building. The building is a two-story structure with a brick lower half and a light-colored upper half. The Walmart logo and "Home Office" text are mounted on the brick section. A large metal lattice tower is on the left, and three cars (blue, white, and red) are parked in front. A security camera is visible on the roof.

Walmart Home Office

Module 4 asked where the firm ends, when it owns abroad, where it locates, and how it holds together.

What explains where Wal-Mart's formula landed, and does Apple's answer show the same problem or a different one?

Bring your team's draft system diagram on Monday, October 5.